Class Affiliation, Class Mobility, and Subjective Well-being: An Empirical Analysis Based on the Chinese General Social Survey 2018

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Abstract

There has been considerable attention in the relationship between socioeconomic class and subjective well-being. Using the Chinese General Social Survey (CGSS) 2018 data and the Ordered Probit Regression model, this paper examines the effects of class affiliation and class mobility on people's subjective well-being, discovering that: first, both class affiliation and class mobility have a significant positive influence on subjective well-being; second, subjective class affiliation has the greatest impact on subjective well-being, followed by subjective class mobility, objective class affiliation, and objective class mobility. The findings show that telling the lively Chinese story, meeting people's aspirations for a better life, solidly promoting common prosperity, and appropriately maintaining a reasonable economic growth rate in the future are practically significant for improving people's subjective well-being.

Keywords: Class affiliation, class mobility, subjective well-being, CGSS
JEL codes: D31, H53, O53

1 Introduction

Since its founding in 1921, the Communist Party of China (CPC) has remained true to its original aspiration and mission of seeking happiness for the Chinese people and rejuvenation for the Chinese nation. Staying committed to communist ideals and socialist convictions, it has united and led Chinese people of all ethnic groups in working tirelessly to achieve national independence and liberation, and then to make our country prosperous and strong and pursue a better life.[1]Particularly since the reform and opening up, the CPC has led the people of all ethnic groups across the country to prioritize economic construction, safeguard and improve people's livelihood in the course of development, and constantly meet people's aspirations for a better life, resulting in a historic increase in people's well-being.

[1]See *Resolution of the Central Committee of the CPC on the Major Achievements and Historical Experience of the Party over the Past Century*

However, certain survey data shows that the subjective well-being of the Chinese people is not synchronized with economic development and income improvement, and there are even worrying situations where the subjective well-being stagnates or even declines while the economy continues to grow and the income continues to rise. For example, according to the World Happiness Report released annually by the United Nations, China's per capita well-being was 6.5 in 2000 and dropped to 5.4 in 2021 (on a scale of 1-10), while the national per capita income has risen more than eight times in the meantime. The data from the China Good Life Survey jointly sponsored by China Central Radio and Television, the National Bureau of Statistics, and China Post Group Corporation also shows that only 45.29% of Chinese residents surveyed felt happy in 2021, decreasing by approximately 15% compared to fifteen years ago.

The Easterlin Paradox (Easterlin, 1974), sometimes known as the "Happiness-income Paradox", refers to the situation in which national income rises without corresponding increases in subjective well-being. Although academics argue on whether the Easterlin Paradox has emerged in China, it is crucial to re-examine the relationship between economic development, income growth, and people's subjective well-being at least in order to enhance people's well-being and pursue a better life.

Numerous scholars have already noted that the current slowdown or even decline in the growth of people's well-being in China is not due to insufficient economic and income growth, but to a series of complex problems such as the continued widening of income disparity, uneven distribution of development dividends, and tightening of the way to class rise (Li and Wu, 2012; He and Pan, 2011). In the author's view, these problems are essentially problems brought about by social class differentiation and fragmentation. Following the reform and opening up, the original "two classes and one stratum" (working class, peasant class, and intellectual stratum) rapidly differentiated, and a new social class structure based on diversified occupations formed and developed gradually. At the beginning of this century, the Institute of Sociology of the Chinese Academy of Social Sciences classified contemporary Chinese society into ten classes based on more than 6,000 questionnaires, ranging from the class of state and social managers to the jobless, unemployed, and semi-unemployed class in urban and rural areas (Lu, 2003). [2]The rapid and high differentiation of social class makes the distribution of power resources, economic resources, and cultural resources among individuals extremely uneven, in which process class self-enclosure is constantly reinforced, resulting in social problems such as the gradual solidification of classes, unequal development opportunities and intergenerational transmission of distress (Fan, 2004). In this regard, this paper focuses on the following issues:

First, what is the impact of class affiliation, that is, respondents' current class status, on their subjective well-being? As previously stated, class differentiation, on the one hand, causes unequal distribution of various social resources and affects the overall living standard of respondents with different class affiliations, which

[2]The ten classes from high to low are state and social managers, managers, private entrepreneurs, professionals, clerks, self-employed, commercial service workers, industrial workers, agricultural workers, and the jobless, unemployed, and semi-unemployed in urban and rural areas.

may lead to "more possessions, more happiness" and "more enjoyment, more happiness" in the material aspect; on the other hand, the group comparison brought by class differentiation may result in "relative deprivation" for the lower class and enhance their negative feelings, thus leading to a decline in their well-being, while the higher class may correspondingly produce superiority psychology and obtain a certain sense of happiness. However, some studies point out that the primary source of China's unhappiness is not class affiliation, but the various pressures of modern society. In other words, as the upper classes are more closely integrated with modern society, their subjective well-being may be worse, while the lower classes are more likely to be happy and satisfied due to their self-contained and straightforward living conditions. What mechanism provides a reasonable explanation?

Second, how does class mobility, that is, the change in respondents' current class from the past and their expectation of future class change, affect their subjective well-being? On the one hand, the more a respondent's objective class level surpasses the past and the more his or her expected class level in future surpasses the present, the more likely he or she is to enjoy and be satisfied in the long period of life progress from the past to the present to the future and thus feel happier; on the other hand, this long period of class advancement may subjectively give people the experience of gaining respect and self-actualization and enhance their subjective well-being by satisfying their motivational needs. However, it is also argued that the link between class mobility and well-being is not significant due to the long period's fade and greater current influence. What conclusion fits the Chinese context and practice?

This paper is devoted to studying the effects of class affiliation and class mobility on people's subjective well-being in China, and the successive arrangements are as follows: the second part is the theoretical analysis and hypotheses, which analyzes the theoretical constructs of the class issue and subjective well-being, and then proposes the theoretical hypotheses of this paper accordingly; the third part discusses the data source, the selection and construction of variables, as well as the specific methods of the empirical study in this paper; the fourth part offers the empirical results and interprets them; and lastly, the fifth part concludes the work.

2 Theoretical Analysis and Hypotheses

As class affiliation and class mobility are two critical variables to measure social class, the theoretical analysis is carried out from these two dimensions. Since the rise of subjective well-being and the Easterlin Paradox research in the 1970s, domestic and international academics have debated the effects of class affiliation and class mobility on subjective well-being extensively, reaching some consensus, but many views and opinions are still fundamentally contradictory.

2.1 Class affiliation and subjective well-being

Regarding the mechanism of the effect of class affiliation on subjective well-being, there are at least two distinctive views in the academic community. The supporting opinion holds that people with a higher subjective class are more likely to feel happy, while people who subjectively believe they are in a lower class tend to have lower well-being. Scholars who hold this theory believe that the lower class is less happy because of the "relative deprivation", which is being at a disadvantage compared to other individuals, thus feeling their happiness is deprived. As the social class gap deepens, the distance between lower classes and higher classes becomes larger and larger, as does the "relative deprivation" (Merton, 1968). For instance, He and Pan (2011) argued that the current opportunity inequality and income disparity in China's society significantly impair people's well-being, especially those in the lower social classes, based on the CGSS 2005 and the CEIC 2005.

In addition, some scholars provide arguments for the supporting opinion on the level of objective class affiliation. Positively, well-being cannot exist in a vacuum, but must have its corresponding material foundation. Material affluence can bring improvement to people's well-being, or at least lay the groundwork for the improvement of well-being and increase its likelihood of realization, whereas the inverse will form a heavy obstacle to the improvement of well-being (Wang, 2021); negatively, at a time when hedonism, consumerism, and possessiveness are prevalent, material enjoyment is well-being in a sense, and there is nothing wrong with feeling happy because of material prosperity or unhappy because of material misery.

However, The other view is opposing, believing that a person in a higher class will not necessarily be happier, and vice versa. In modern society, people in the higher class may face much more pressure than other classes, and various pressures and troubles can easily offset the well-being brought by the higher class. Wang (2007) investigated the subjective well-being of 436 young people in seven cities in China and discovered that the well-being of middle-income respondents was significantly higher than that of high-income and low-income respondents. Liu and Kong (2015) also found that the per capita household income had an inverted U-shaped relationship with well-being, and the happiness of higher classes declined instead after exceeding the critical point, based on the CGSS 2010.

2.2 Class mobility and subjective well-being

As for the mechanism of class mobility on subjective well-being, there is also no unanimity in the academic community. Proponents believe that both subjectively and objectively, upward mobility can greatly enhance one's well-being, while once class decreases, happiness will likewise diminish. According to Maslow's Hierarchy of Needs theory, proponents view that rising subjective class gives people a sense of respect and self-fulfillment, which leads to an increase in well-being. Objectively, the rising class also leads to better fulfillment of higher-level needs (Leubenkin, 2012). By contrast, if the subjective class keeps declining, individuals' self-perceptions can hardly be maintained at a stable level, and their well-being may decrease in the breakdown of self-fulfillment. The objective decline in class is inevitably characterized by lower quality

of life, lower social evaluation, career downgrading, or unemployment, and the original level of well-being can hardly be maintained.

Several researchers, however, have contrary opinions, believing that the subjective well-being is not only influenced by one's class, but also motivated and inspired by other higher classes, much like a driver in a jammed tunnel is relieved to see the next lane going forward even though his own lane is blocked (Hirschman, 1973). Chinese scholars who support this view also say that, while innate factors impacting class are strong in China, the country's fast-growing economy may provide individuals with numerous opportunities for subsequent progress, meaning that the path to class mobility remains open. (Lu, 2003). Thus, even in the case of class stagnation or decline, class mobility may positively affect subjective well-being. Additionally, some authors believe that class mobility does have a positive relationship with subjective well-being in short cycles, but the relationship is not significant in the long run due to the adaptation effect of people to class mobility (Easterlin and Mcvey, 2010).

Although the divergence of existing research on related issues is fundamental, it provides additional possibilities and insights for future research. For example, existing studies show that the division of class affiliation and class mobility is reasonable for studying social class issues; for each dimension, existing studies can be divided into subjective and objective levels, which provides directional guidance and support for the theoretical hypotheses and model construction of this paper; subjective well-being is a complex and multifactorial indicator, and it is not comprehensive to consider only the influence of class factors, nor occupational factors (or income factors, and others.) as the decisive component of class factors. Based on the previous studies, this paper makes the following improvements:

First, the division of class affiliation and class mobility has matured, but most existing studies only focus on one of them, failing to view them as a shared element in depicting social class. Consequently, The paper's core variables are class affiliation and class mobility, one static and one dynamic, one portraying the present time and one charting the past and future, which can help develop a more complete picture of how social class influences subjective well-being.

Second, based on the core variables of class affiliation and class mobility, this paper further divides them into subjective and objective dimensions, which to some extent reconciles the long-standing debate over whether the class is subjective or objective. In this way, the impact of subjective and objective elements of class on subjective well-being is also revealed.

Third, this paper includes as many control variables as the data sources allow in order to increase the explanatory power of the explanatory variables; at the same time, it optimizes the research method that relies excessively on occupation to measure objective class, and develops a more scientific and objective method to measure class affiliation and mobility that is more appropriate for China's national conditions.

2.3 Theoretical hypotheses

On the basis of the foregoing analyses and arguments, this paper proposes the following two hypotheses:

Hypothesis 1: class affiliation positively affects people's subjective well-being.

Hypothesis 2: class mobility also has a positive effect on the subjective well-being.

3 Data, variables, and methods

3.1 Data sources

The data in this paper come from the CGSS 2018, which is the first national, comprehensive, and continuous academic survey project in China, implemented by the Survey and Data Center of Renmin University of China since 2003, systematically and comprehensively collecting data from society, communities, families, and individuals. In order to minimize bias, this paper has cleaned up the invalid samples according to the selected research topics, such as "refused to answer" and "do not know" in the well-being question, "not applicable" and "refused to answer" in the total annual household income question, and so on, resulting in a valid sample of H = 9011 for the cross-sectional data.

3.2 Variable construction and interpretation

1. The explanatory variable is people's subjective well-being (SWB), generated directly from the A36 question of the CGSS 2018. The question is: "In general, do you feel that you are happy in your life?" 1 = very unhappy, 2 = relatively unhappy, 3 = not able to say whether you are happy or not, 4 = relatively happy, and 5 = very happy. The relative frequency statistics of people's subjective well-being (see Table 1) show that most respondents subjectively consider themselves happy or relatively happy.

Table 1: Relative frequency statistics of residents' subjective well-being

Subjective well-being	Frequency	Relative frequency
Very unhappy	110	1.22
Relatively unhappy	537	5.96
Can't say happy and unhappy	1144	12.70
Relatively happy	5508	61.13
Very unhappy	1712	19.00
Total	9011	100.00

Source: Data obtained from the CGSS 2018 database.

2. Explanatory variables. (1) Class Attribution (CA). Class affiliation is subdivided into subjective class affiliation (SCA) and objective class affiliation (OCA), which is the sum of the two. Subjective class

affiliation is generated by question A43a, which asks: "On balance, which class are you personally located in the current society?" The options are on a scale of 1-10, from 1 = bottom to 10 = top. The result shows that most people consider themselves middle class (see the left part of Figure 3).

The construction of objective class affiliation variables is relatively more complex. Occupational rank has long been used as a proxy of objective class affiliation, leading to sophisticated systems such as the International socioeconomic Index (ISEI) (Ganzeboom et al., 1992), where respondents' occupations are transformed using a coding scale to obtain their class scores directly. However, this paper does not use a similar approach to measure objective class affiliation because, first, most similar systems are constructed in foreign contexts and do not fit well in China. For example, in the ISEI, firefighters, police officers, and prison guards belong to the broad category of service workers, and their class scores are only slightly higher than those of astrologers, fortune-tellers, and palm readers, which is obviously absurd in the Chinese context. Second, only 3,297 observations in the CGSS 2018 dataset explicitly provide occupational details and can be translated into the International socioeconomic Index system, accounting for less than 40% of the sample size, and using the International socioeconomic Index would inevitably discard a large number of samples, resulting in biased research results.

Therefore, this paper constructs the objective class affiliation index in the following way:

$$\mathrm{OCA} = \mathrm{OCA}_e + \mathrm{OCA}_o + \mathrm{OCA}_i \tag{1}$$

The OCA is an objective class affiliation, and OCA_e, OCA_o, OCA_i are the three subscales of the OCA, indicating education level, occupation level, and income level, respectively. After generation, the objective class affiliation is standardized to a scale of 1-10. This model is based on the widely recognized socioeconomic Scale (SES) originally proposed by American sociologist Duncan (1950) and modified by Li (2010) in the context of China, which not only takes into account the Chinese tradition of valuing education, but also reflects the Chinese people's concern for occupational status and dignity, and also introduced the income variable to accommodate the differences in income and occupation in China, which is suitable for measuring the objective class situation in China from multiple dimensions. On this basis, the author combined with the CGSS 2018 questionnaire arrangement to generate three subscales as follows:

Education level (OCA_e), generated from the A7a problem, corresponds to the original 13 categories of education on a 1-7 scale from 1 = no or little literacy to 7 = graduate degree and above; Occupational level (OCA_o), generated from several variables such as A58, A59a, A59a1, A59b, A59h, and A59j, also on a 1-7 scale, see Figure 1 for the generation method. Income level (OCA_i), generated by A62 and A63 questions, is also on a 1-7 scale, from low to high, indicating the hierarchical differences in income levels. Due to the tradition of sharing income of Chinese households, the income is calculated by dividing the total household income by the number of persons, and Li's model (2010) has been updated based on the changes in per capita income to reflect the growth of Chinese economy over the last eight years.

After the above procedure, this paper generates the objective class affiliation index. (see Figure 2). The

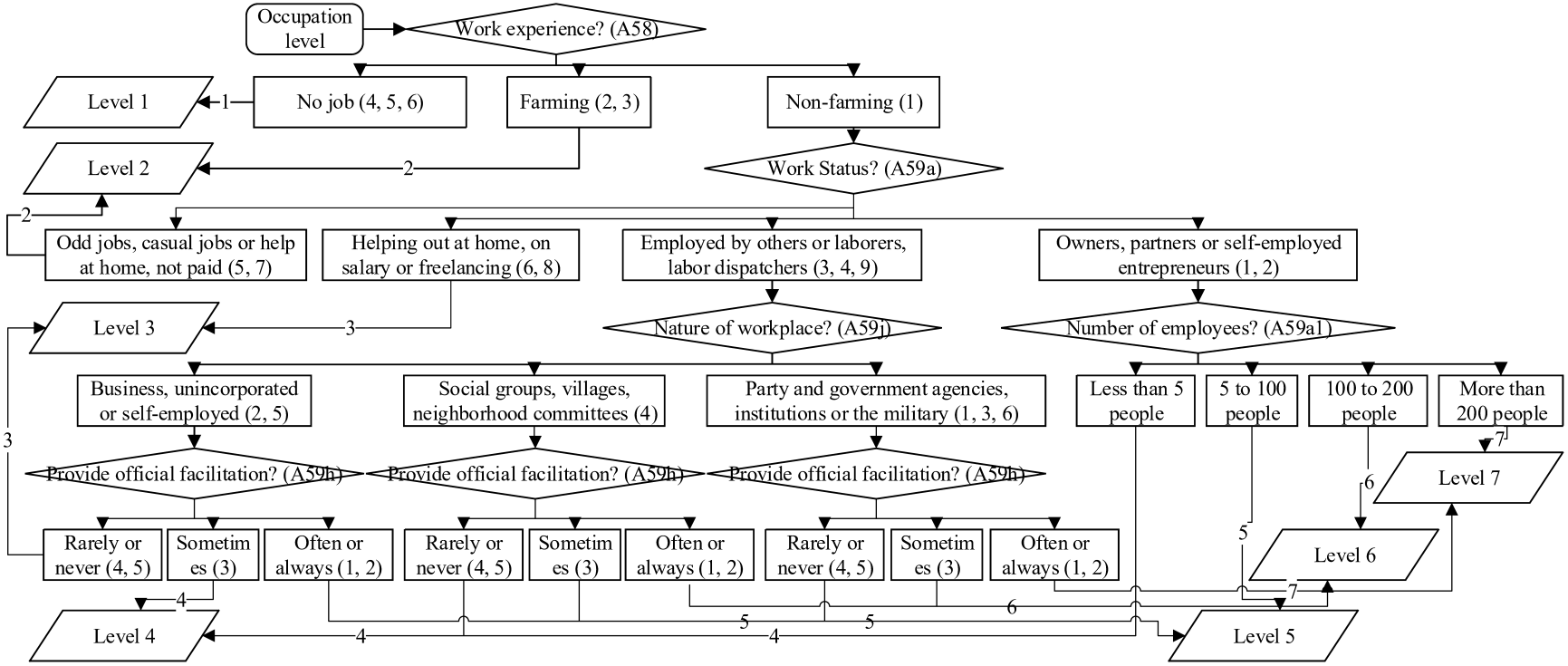

Figure 1: Occupation level variable generation

sample's education level shows an olive-shaped distribution, while the occupation level and income level both show an inverted T-shaped distribution. Although the objective class affiliation, which is the sum of these three, is also characterized by small poles and large middle, most people are in the middle and lower classes, which is still far from the standard olive-shaped distribution.

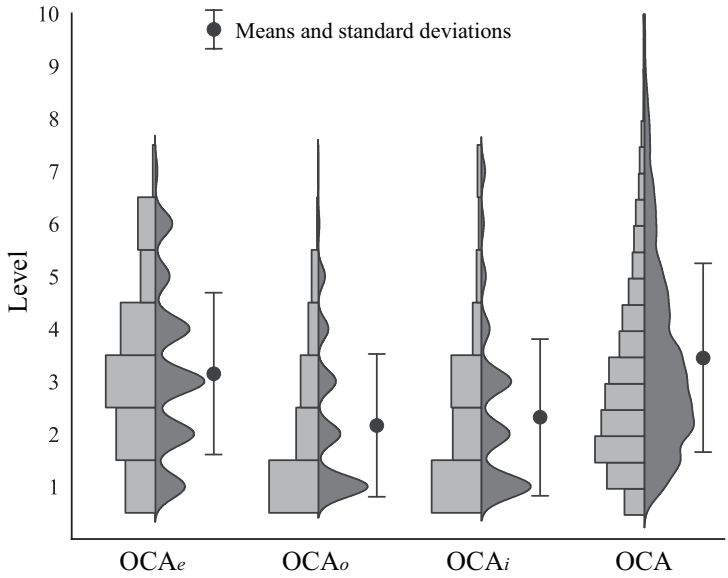

Figure 2: Relative frequency distribution of OCA and its subscales

The concern is that simply being more theoretically sound than the ISEI may not be sufficient to demonstrate that the objective class affiliation index developed in this paper is closer to objective reality. In this regard, the simple logic of proof is that under the circumstance of respondents' subjective class affiliation being influenced by their objective roots (and includes many other factors on top of it, thus differing from objective class affiliation), then the objective index which is more similar to subjective class affiliation, should be considered as a more realistic index in the absence of other better means of proof. Using the correlation coefficient matrix (see Table 2), it is believed that the index constructed in this paper should be better than the ISEI.

Table 2: SCA, OCA (this paper), and OCA (ISEI) correlation coefficients

	SCA	OCA (this paper)	OCA (ISEI)
SCA	1		
OCA (this paper)	0.2746	1	
OCA (ISEI)	0.2051	0.5695	1

The correlation coefficient matrix also shows that there is little correlation between objective and subjective class affiliation (see Figure 3). For instance, most respondents subjectively consider themselves in the middle class, while most of them objectively have just completed compulsory education and have the

lowest occupational and income levels. The low correlation also demonstrates the importance of separating the subjective and objective components of the class characteristics from the side.

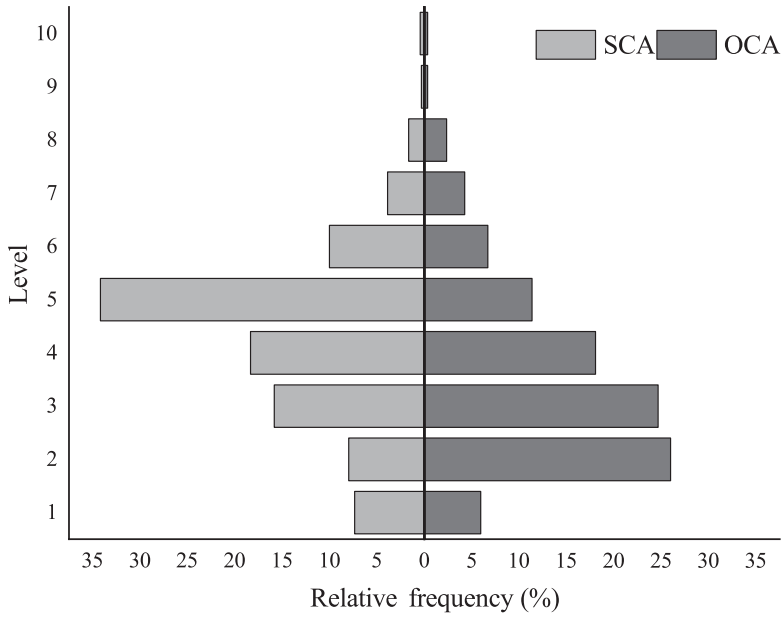

Figure 3: Relative frequency distribution of SCA and OCA

(2) Class Mobility (CM). Similarly, class mobility is split into two categories: subjective class mobility (SCM) and objective class mobility (OCM), and is generated by summing the two. The subjective class mobility, that is, the respondents' personal feelings about their class changes, is generated by A43a, A43b, A43c, and A43d together. The logic of generation is as follows: subjective class mobility, on the one hand, is expressed as a transcendence (or decline) of past class, namely the difference between present subjective class affiliation and past subjective class affiliation (SCM_p = A43a - A43b); on the other hand, it is expressed as a transcendence (or decline) of future class expectations than present, namely the difference between future subjective class affiliation and present subjective class affiliation (SCM_f = A43c - A43a); and also as a transcendence (or decline) of one's present class over the past class of one's family, which is also the difference between the two (SCM_h = A43a - A43d). Thus there are:

$$\text{SCM} = \text{SCM}_p + \text{SCM}_f + \text{SCM}_h \tag{2}$$

Accordingly, Figure 4 depicts the standardized (on a 1-10 scale) subjective class mobility and its subscales, which are basically normally distributed, with the peak slightly higher than the middle, indicating that most people have little subjective class mobility and consider themselves to have a slightly class rise.

Objective class mobility (OCM), that is, current objective class affiliation minus past objective class affiliation (since the objective is specified, the future is not involved). Similar to the idea of developing the objective class attribution component, the equation is as follows:

$$\text{OCM} = \text{OCM}_e + \text{OCM}_o + \text{OCM}_i \tag{3}$$

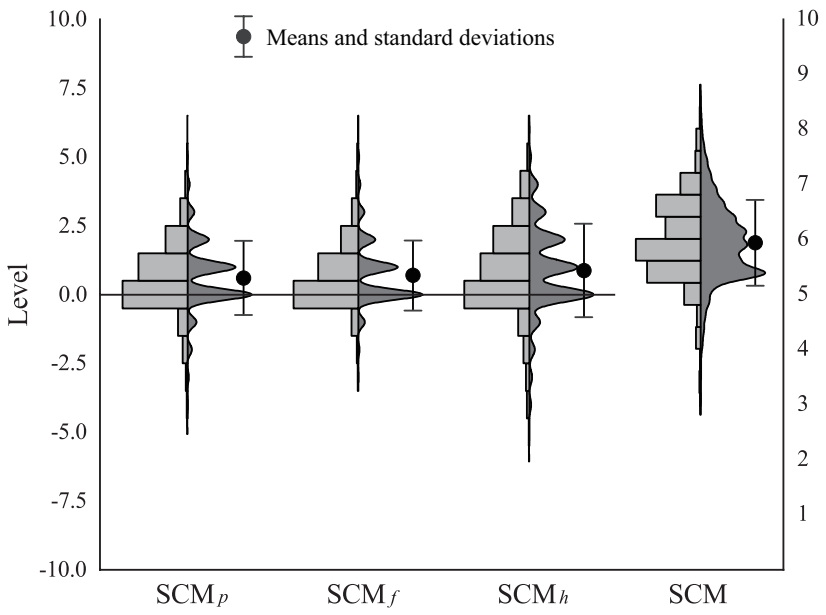

Figure 4: Relative frequency distribution of subjective class mobility

In the education change (OCM$_e$) section, question A7c asks, "In which year did you obtain your highest completed degree?" In combination with the A7a question (the current highest level of education), the respondent's education level eighteen years ago can be projected. Once the respondent answers the A7c question earlier than 2000, the person's education level has not changed in eighteen years; and once it is later than 2000, the person's education level in 2000 can be projected based on the general years of the Chinese education, and the change in education level can be calculated by subtracting the two. For example, if a person's highest level of education is a bachelor's degree, which was obtained in 2015, the person should have been in the second grade of the elementary school in 2000 according to the school system projection, and his or her education change is level four.

The occupational change (OCM$_o$) is calculated using the A57b question combined with the preceding questions used to generate the present occupational level, which is: "What was the occupation of your first job?" It should be noted that the options in this question are far from the construction system used in several of the preceding questions, but this paper attempts to maintain consistency wherever possible, such as still classifying unemployed as level 1, senior managers, heads of units as level seven, and so on.

For the income change (OCM$_i$) section, the A11 question was utilized to classify respondents into seven levels according to the size of their present residence, along with their household's location as the past income level, and subtracted by the current income level. The reason for this operation is twofold: first, the CGSS 2018 did not design the question to measure past income levels, which would have been the optimal choice; second, due to the current high real estate prices in China, most residential houses are purchased for a long period and can be used to measure past income levels. Figure 5 illustrates the results of the objective class mobility statistics:

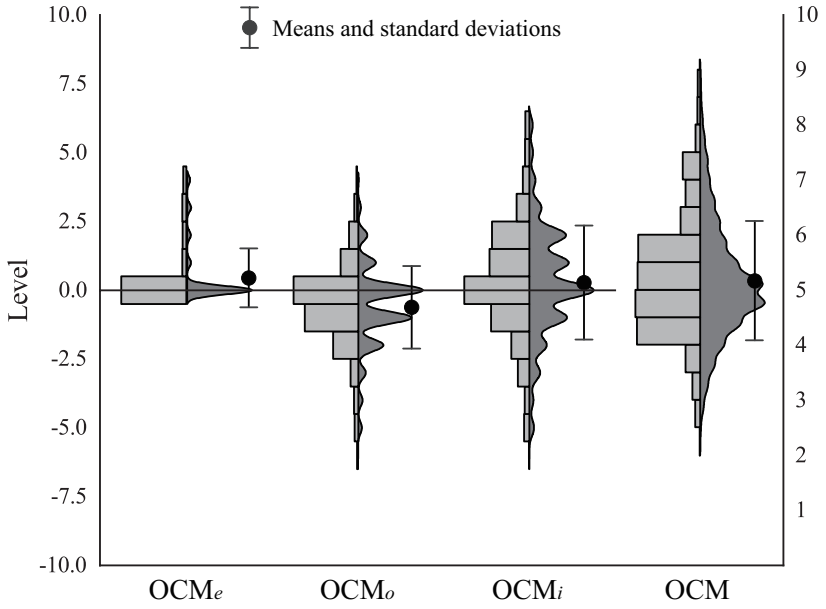

Figure 5: Relative frequency distribution of objective class mobility

As can be seen, most people move little in class mobility, and not many respondents have improved in their education level and at the career level, there are slightly more decliners than risers. Objective class mobility was treated on a scale of 1-10, with a relatively standard normal distribution. And, in terms of overall results, respondents' subjective class elevation was stronger than objective class elevation (see Figure 6).

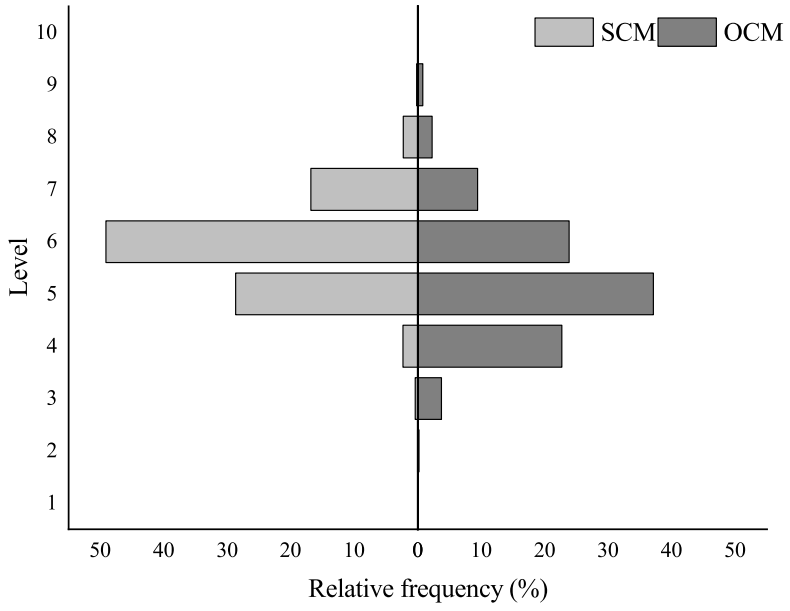

Figure 6: Relative frequency distribution of SCM and OCM

There is no significant correlation among the above four subscales after Spearman's correlation test and variance inflation factor test. Finally, the two final explanatory variables of class affiliation and class mobility were obtained by subjective-objective summation.

$$\begin{aligned} \text{CA} &= \text{SCA} + \text{OCA} \\ \text{CM} &= \text{SCM} + \text{OCM} \end{aligned} \tag{4}$$

3. control variables. The control variables in this paper include gender, age, political affiliation, nationality, religion, health, and household registration.

All variables are shown in the following table:

Table 3: Basic statistics

		Average / Percentage	Standard deviation	Max	Min
Subjective well-being		3.907	0.810	1	5
Class affiliation		4.193	1.524	1	10
Class mobility		5.327	0.994	1	10
Health		3.553	1.073	1	5
Political affiliation		1.386	0.952	1	4
Age		51.76	16.62	18	118
Gender	Male	47.79%			
	Female	52.21%	Benchmark group		
Nationality	Han nationality	93.79%			
	Non-Han nationality	6.21%	Benchmark group		
Religion	Non-religious	89.54%			
	Religious	10.46%	Benchmark group		
Household registration	Rural	37.76%			
	Urban	62.24%	Benchmark group		

Source: Data obtained from the CGSS 2018 database.

3.3 Econometric Methods

The explanatory variable subjective well-being in this paper is a discrete 5-item ordered choice variable, and it is appropriate to analyze it using an Ordered Probit model (Alesina, 2004). The Ordered Probit model connects a linear combination of explanatory variables to discrete explanatory variables through a potential linking variable (assumed in this paper to be SWB*). As such, there is:

$$\text{SWB}^* = \beta_0 + \beta_1 \text{CA} + \beta_2 \text{CM} + \sum_{i=1}^{7} \beta_{i+2}\gamma_i + \epsilon \tag{5}$$

and when $\mu_{j-1} < \text{SWB}^* < \mu_j, \text{SWB} = j, j = 1, 2, 3, 4, 5$. So:

$$\begin{aligned} \text{P}(\text{SWB} = j|X) &= \text{P}(\mu_{j-1} < \text{SWB}^* <= \mu_j|X) \\ &= \Phi(\mu_j - f(X)|X) - \Phi(\mu_{j-1} - f(X)|X) \end{aligned} \tag{6}$$

in which $f(X) = \beta_0 + \beta_1\text{CA} + \beta_2\text{CM} + \sum_{i=1}^{7} \beta_{i+2}\gamma_i$. In turn, the equation can be estimated according to the maximum likelihood method to obtain each parameter of the Ordered Probit equation. At the same time, because the Ordered Probit model and the simple Linear Regression model are consistent in terms of parameters, many studies also directly adopt the simple Linear Regression model (Jiang et al.). Therefore, the simple Linear Regression results are also presented together in this paper.

4 Empirical Analysis

4.1 Basic model

Table 4 presents the results of the full-sample regressions, where Models (1)-(3) are Ordered Probit Regressions, reporting the estimation results of the regressions of class affiliation, class mobility, and both together on subjective well-being, respectively, and the significance tests are passed. Model (4) is a simple linear regression corresponding to Model (3), and the results do not differ significantly.

From the analysis of the regression results, it is clear that: first, class affiliation has a significant positive effect on subjective well-being. From the regression results, the coefficient of class affiliation is significantly positive in both the Ordered Probit model and the simple Linear Regression model, which verifies hypothesis 1. Second, the effect of class mobility on subjective well-being is also significant. Although the coefficients of class mobility vary significantly between the Ordered Probit model and the simple Linear Regression model, they are both significantly positive, which verifies hypothesis 2. This suggests that in China's current society, the higher the individual's class rank, the greater the class leap achieved, and the more confidence in class progress, the higher the level of subjective well-being will be.

While the control variables are not the primary focus of this paper, the regression results provide some significant insights: most of the control variables selected in this paper have significant effects on subjective well-being, with the following having a more significant effect: health, political appearance, age, and gender. These variables are less related to class affiliation and class mobility but are equally important factors affecting people's subjective well-being. The results show that healthier, more politically progressive, and older people have higher levels of well-being, and men are happier than women.

It is worth mentioning that the household registration factor, which the public generally believes affects well-being, is not significant in the regression results. The difference in household registration does not directly conclude which group is happier, which precisely responds to the theoretical analysis in the previous section and shows the complexity of the subjective well-being influence system.

Table 4: Full-sample regressions results

Explanatory variables: subjective well-being	Ordered Probit Regression (1)	(2)	(3)	Linear Regression
Class Affiliation	0.183***		0.172***	0.115***
	(18.54)		(15.51)	(14.75)
Class Mobility		0.146***	0.031**	0.212***
		(10.73)	(1.96)	(25.70)
Health	0.234***	0.267***	0.235***	0.276***
	(17.24)	(19.86)	(17.29)	(33.19)
Political affiliation	0.051***	0.095***	0.053***	0.056***
	(3.95)	(7.49)	(4.08)	(6.61)
Age	0.014***	0.012***	0.014***	0.021***
	(16.52)	(14.37)	(16.28)	(54.53)
Gender	0.153***	0.141***	0.153***	0.182***
	(6.36)	(5.88)	(6.38)	(10.90)
Nationality	0.130**	0.098*	0.131**	0.167***
	(2.48)	(1.91)	(2.50)	(4.60)
Religion	0.095**	0.102**	0.096**	0.068**
	(2.32)	(2.48)	(2.33)	(2.35)
Household registration	-0.040	0.133***	-0.030	-0.009
	(-1.50)	(5.37)	(-1.13)	(-0.47)
Log Likelihood	-9394.21	-9517.93	-9392.20	
χ^2 / F statistics	873.21	663.78	872.75	27375.33
P value	0.0000	0.0000	0.0000	0.0000
Pseudo R^2 / Adjusted R^2	0.0525	0.0400	0.0527	0.961
Observations	9011	9011	9011	9011

Notes: ***, **, and * indicate significance at the 1, 5, and 10 percent levels, respectively.

4.2 Marginal effects

Due to the nonlinear nature of the Ordered Probit model, the preceding regressions do not explicitly show the effect of class affiliation and mobility on subjective well-being. Therefore, further analysis of both is needed by calculating the marginal effects.

Table 5: Marginal effects of class affiliation and class mobility

	Explanatory variables: subjective well-being				
	1	2	3	4	5
Class Affiliation	-0.005***	-0.017***	-0.023***	0.001	0.044***
	(-9.38)	(-13.50)	(-15.04)	(1.39)	(15.78)
Class Mobility	-0.001*	-0.003**	-0.004**	0.000	0.008**
	(-1.94)	(-1.96)	(-1.96)	(1.17)	(1.96)
Health	-0.006***	-0.023***	-0.032***	0.002	0.060***
	(-9.71)	(-14.90)	(-17.00)	(1.40)	(17.55)
Political affiliation	-0.001***	-0.005***	-0.007***	0.000	0.013***
	(-3.88)	(-4.04)	(-4.07)	(1.32)	(4.08)
Age	-0.000***	-0.001***	-0.002***	0.001	0.004***
	(-9.67)	(-14.46)	(-15.75)	(1.40)	(16.39)
Gender	-0.004***	-0.015***	-0.020***	0.001	0.039***
	(-5.62)	(-6.27)	(-6.34)	(1.38)	(2.50)
Nationality	-0.004**	-0.013**	-0.018**	0.001	0.033*
	(-2.44)	(-2.50)	(-2.50)	(1.21)	(2.50)
Religion	-0.003**	-0.009**	-0.013**	0.001	0.024**
	(-2.30)	(-2.33)	(-2.33)	(1.21)	(2.33)
Household registration	0.001	0.003	0.004	-0.000	-0.008
	(1.13)	(1.13)	(1.13)	(-0.88)	(-1.13)

Notes: ***, **, and * indicate significance at the 1, 5, and 10 percent levels, respectively.

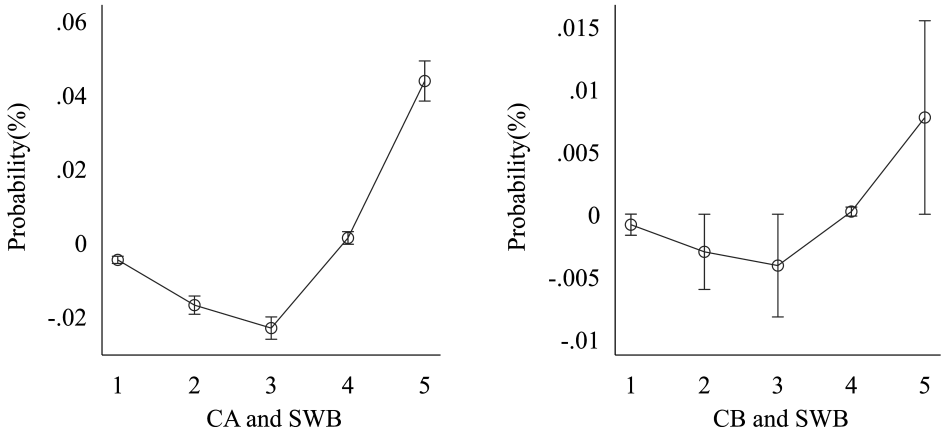

Figure 7: Marginal effects of class affiliation and class mobility on subjective well-being

Table 5 gives the values of the marginal effects for all variables, while Figure 7 visualizes the results. For example, option 3 and option 5, which represent "not happy" and "very happy" respectively, for each

level of class affiliation, the probability of choosing option 3 will decrease by 2.3%, while the probability of choosing option 5 will increase by 4.4%, indicating that it is easier to become happy; for each level of class mobility, the probability of choosing option 3 will decrease by 0.4% and the probability of choosing option 5 will increase by 0.8%, also indicating that happiness will increase, which further confirms the correctness of hypothesis 1 and hypothesis 2.

4.3 Endogeneity test and treatment

Real economic models frequently exhibit endogeneity problems. Endogeneity issues that may arise with the model developed in this paper include the following: first, both class affiliation and mobility variables are developed using subjective questionnaires, and subjective class considerations are easily correlated with subjective well-being, which is another subjective factor; for example, there is a potential personality factor that affects both subjective class affiliation, class mobility, and well-being, creating endogeneity issues (He and Pan. 2011); second, class mobility variables, both at the subjective and objective levels, involve respondents' evaluation of past states based on the present, which is prone to the problem of associativity and thus endogeneity (Zhang et al. 2016); third, there may also be a reciprocal causal relationship between the explanatory variables and the explained variables. Therefore, this paper should consider the potential endogeneity problem for both the class affiliation and class mobility variables.

First, regarding class affiliation. This paper constructs the instrumental variable through question A31b ("How often do you engage in social and recreational activities (such as visiting each other, watching TV together, eating, playing cards, and so on) with other friends?"), with the consideration that the level of class affiliation has an important impact on the frequency of respondents' social activities, and the higher the class they belong to, the stronger the need for more extensive social activities. However, the relationship between the frequency of social activities and respondents' subjective well-being is weak, since some people feel happy due to more extensive social participation, while others feel less happy due to frequent socializing. Therefore, the question can be used as an instrumental variable.

Second, two questions, A89d and A89f, were selected as instrumental variables for class mobility in this paper. Question A89d is a survey about the respondent's father's occupation at age 14, while A89f is a survey about his father's administrative position level (if any). It is generally believed that the family of origin in our society has a great influence on an individual's class mobility, and the higher the father's combined rank in occupation and position and the more obvious his superior status, the greater the likelihood of positive class mobility for his children (Li, 2012), and thus, respondents' class mobility is closely related to their father's occupation and rank. However, a person's subjective well-being indicator, which evaluates his or her current life situation, is obviously not very much related to his or her father's occupation and rank years ago. Thus, the construction of the instrumental variable is reasonable. The results of the regression through the instrumental variables are shown in Table 6:

Table 6: Results after overcoming endogeneity

Explanatory variables: subjective well-being	Ordered Probit regression (5)	(6)	(7)
Is CA an IV?	Yes	Yes	No
Is CB an IV?	No	Yes	Yes
Class affiliation	0.537***	0.032	0.141***
	(4.68)	(0.07)	(4.77)
Class mobility	0.027**	-0.574*	0.658**
	(2.01)	(-1.86)	(2.52)
Health	0.108**	0.246***	0.161***
	(1.96)	(3.51)	(3.04)
Political affiliation	-0.062	0.096	0.018**
	(-1.45)	(0.92)	(0.81)
Age	0.023***	-0.007*	0.028***
	(9.65)	(-0.54)	(6.21)
Gender	0.171***	0.082**	0.158***
	(7.25)	(1.23)	(6.06)
Nationality	0.213***	0.015	0.173***
	(3.96)	(0.12)	(3.51)
Religion	0.070*	0.073*	0.087**
	(1.69)	(1.71)	(2.14)
Household registration	-0.403***	0.092	-0.037
	(-3.18)	(0.22)	(-1.44)
Log Likelihood	-24201.87	-34710.99	-21092.65
χ^2 / F statistics	4099.37	5405.48	3010.80
P value	0.0000	0.0000	0.0000
Atanhrho	-0.529**	0.411	-0.634*
	(-2.49)	(0.76)	(-1.85)
		0.533***	
		(50.27)	
Observations	9011	9011	9011

Notes: ***, **, and * indicate significance at the 1, 5, and 10 percent levels, respectively.

In the above table, the atanhrho parameter is the estimated parameter of the Ordered Probit instrumental variables model, which is used to measure the correlation of the equations in the joint model and the explanatory role of the instrumental variables. The results in Table 6 show that class affiliation can be considered as exogenous, while class mobility should be dealt with as instrumental variables, with the final

results shown in the Model (7). By comparing it with the Model (3) in Table 4, it can be observed that overcoming endogeneity does not substantially affect the regression results and the results of the marginal effects analysis of the original model, and hypothesis 1 and hypothesis 2 still hold.

4.4 Class factor contribution measure

The paper has concluded that the positive effects of class affiliation and class mobility on subjective well-being are significant. Following that, how to measure the contribution of both of them and even the subjective class affiliation, objective class affiliation, subjective class mobility, and objective class mobility to people's subjective well-being? In this paper, the contribution of each class factor is measured by observing the R2 changes of different combinations of explanatory variables using the method of Shapley value decomposition. The results are shown in Table 7:

Table 7: Shapley value decomposition results

Variables	Contribution percentage	Variables	Contribution percentage
Subjective class affiliation	40.82%	Health	30.27%
Objective class affiliation	4.14%	Political affiliation	4.73%
Class affiliation	44.96%	Age	8.05%
Subjective class mobility	9.15%	Gender	1.54%
Objective class mobility	0.68%	Nationality	0.15%
Class mobility	9.83%	Religion	0.47%

From the decomposition results, class factors play a decisive role in determining subjective well-being, and the role of class affiliation is much larger than that of class mobility. Specifically, subjective class affiliation has the greatest impact on individuals' subjective well-being, followed by subjective class mobility, objective class affiliation, and objective class mobility.

While such a "subjective over objective" finding may appear strange, it has several compelling explanations. First, since the reform and opening up, China's society has undergone drastic structural changes, and the objective class mobility has in fact not much significance by comparison. Many of the "important" and "prominent" positions of thirty or forty years ago have now been reduced in status, and some of the once "unimportant" and "uninvolved" classes have been elevated in the process of social development. Second, objective long-term class mobility gives people an extremely long adaptation period, and the adaptation effect is such that the effect of objective class crossing or decay on well-being is greatly attenuated and replaced by subjective judgments in the present. Finally, the evaluation of objective class mobility itself has some distortion due to changes in survey caliber and survey method.

In addition, the contribution of health and age factors to subjective well-being is significant. Such a conclusion is consistent with the current situation of Chinese society and is also in line with the Chinese

people's view of well-being since ancient times, which confirms the scientific nature of this study from the side. To a certain extent, it also shows that although the class factor is the decisive factor of subjective happiness, other important factors cannot be neglected as well.

5 Conclusion

Based on the CGSS 2018 data, this paper investigates the effects of class affiliation and class mobility on people's subjective well-being in China. The conclusion shows that both class affiliation and class mobility have a significant positive impact on respondents' subjective well-being, with subjective class affiliation having the strongest impact, subjective class mobility the second, and objective class affiliation and objective class mobility following, but already weaker.

President Xi pointed out emotionally that "without forgetting the original intention, we can always achieve. The only way we can live up to history, the times, and the people is to excel and do our best." [3] On the glorious road of the great rejuvenation of the Chinese nation, continuously enhancing people's sense of gain, happiness, and security in development, realizing development for the people, relying on the people, and sharing the fruits of development by the people, is not only our Party's account to all the people, but also our generation's account to history. Based on the conclusions of this paper, the author has the following policy recommendations.

First, adhere to the people first and tell the Chinese story well. For a long time, China has made many achievements in dealing with the various class issues that arise along with rapid social development, and generally maintained the benign development of objective social classes, but relatively neglected the subjective and straightforward views of the people's hearts about class affiliation. It has been proved that if we only focus exclusively on raising the objective class of the people and mechanically believe in the materialistic concept of happiness that "if we develop, we will be happy", it will be difficult to grasp the real needs and wants of the masses and create the paradox and bitter fruit of "development but not happy". Therefore, always insisting on the people's center and the people's supremacy on the basis of constantly improving the objective class structure, telling vivid stories on the land of China, allowing the sense of class belonging, class identity, and class pride to be deeply rooted in people's hearts alongside development, and building a unified, centripetal, and progressive social class consensus, is the key to improve the happiness of Chinese residents, which is necessary to grasp it in the coming period.

Second, to continuously meet the people's aspirations for a better life. Well-being is not only from the present, but also from all the steps to the ground and looking up to the stars full of expectations. People's aspirations for a better life are our goal of struggle. On the one hand, to do an excellent job in the present, so that people can feel their own class advancement in the comparison of past and present classes; on the other

[3] See President Xi's New Year's message for 2022.

hand, it is necessary to actively plan the layout to meet the people's growing demand for democracy, the rule of law, fairness, justice, security, and a better environment, making people full of confidence in the future of life from the bottom of their hearts.

Third, solidly promote common prosperity and expand the size of the middle-income group. The most important and prominent manifestations of the objective class problem are class differentiation, class polarization, and class solidification. The lessons of the polarization of rich and poor and the collapse of the middle class in some countries, leading to social tearing, political polarization, and populist proliferation, are too profound to be unlearned. China is the largest socialist country globally, and common prosperity is the remarkable advantage and essential requirement of socialism. It is of great significance to promote common prosperity, to make continuous efforts to expand the size of the middle-income group, to strengthen the regulation and adjustment of high income, and to focus on helping and protecting low-income people, so as to enhance the well-being of our residents.

Finally, due attention should be paid to maintaining a reasonable economic growth rate in the future. The conclusion of this paper shows that objective class mobility has little effect on subjective well-being and is not significant enough, but due to the complex relationship between the elements, due attention should also be paid to objective class mobility. A key element of objective class mobility, namely, economic growth. At present, China's economic development has entered the stage of high-quality development, and the traditional view of promoting people's well-being by maintaining or even increasing the economic growth rate is now seen as partly problematic. Stabilizing macroeconomic operations, keeping economic operations in a reasonable range, respecting the objective laws of the economy, and not "pulling up the seedlings to help the growth" of economic development, is undoubtedly a solid guarantee for people's well-being increasing.

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